

COMPLETE LEARNING SESSION

National Income: GDP, GVA, GNP, NDP and Measurement - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

National Income: GDP, GVA, GNP, NDP and Measurement	
REFRESHED TEACHING NAVIGATION — BASIC/CORE FIRST	
01	FOUNDATION — DOMESTIC PRODUCTION AND RESIDENT INCOME GDP at market prices can be read from final expenditure as $C + I + G$
02	FOUNDATION — FINAL EXPENDITURE IDENTITY GDP at market prices equals GVA at basic prices plus product taxes
03	FOUNDATION — PRODUCER VALUE ADDED AND PURCHASER PRICES Main: Use one named Indian revision, one method limitation and
04	CORE — GROSS OUTPUT AND DEPRECIATION Mechanism chain: Three measurement methods Qualified use: Open
05	CORE — THREE ROUTES TO THE SAME AGGREGATE Technically, CORE — Three routes to the same aggregate is analysed
06	CORE — VALUE ADDED, INCOME COVERAGE AND INFORMALITY The income method adds wages, profits, rent and mixed income, but
07	CORE — FINAL EXPENDITURE AND INTERMEDIATE EXCLUSION Mechanism chain: Nominal-real-deflator triangle Qualified use: Open
08	CORE — NOMINAL OUTPUT, REAL OUTPUT AND THE DEFLATOR Current final goods and services, applicable imputations and
09	CORE — INSIDE THE PRODUCTION BOUNDARY Mechanism chain: Transfer and resale exclusions Qualified use: Use
10	CORE — TRANSFERS, REALES AND CURRENT SERVICES Mechanism chain: Unpaid work and welfare limit Qualified use: Open
11	CORE — UNPAID WORK, WELFARE AND THE 2015 REVISION India's 2015 revision shifted the national-accounts base to 2011-12
12	CORE — THE 2022-23-BASE NATIONAL-ACCOUNTS SERIES Mechanism chain: Potential GDP and output gap Qualified use: Use
13	CORE SYNTHESIS — POTENTIAL GDP AND THE OUTPUT GAP Mechanism chain: ICOR and investment efficiency Qualified use:
14	CORE SYNTHESIS — ICOR, PPP AND CAPITAL PRODUCTIVITY Research and development, software and databases, mineral
15	CORE SYNTHESIS — INTANGIBLES, SECTOR CLASSIFICATION AND ESTIMATE VINTAGE Limitation: ICOR is an aggregate diagnostic and does not identify the

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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National Income: GDP, GVA, GNP, NDP and Measurement - Learner-v2 Complete Learning Session

Authoring-only generation: 2026-09-03. No PDF was rendered and no tracker or index was mutated.

SOURCE, PROGRESSION AND CURRENT-LINKAGE AUDIT

- **Generation date:** 2026-09-03.
- **Repository-first evidence:** the Basic owner is taught first and preserved in full; the Advanced owner is retained only in the optional final teaching block.
- **OCR evidence:** Repository Markdown was primary. OCR-searchable local official General Studies papers were used only to confirm printed routed demands. No answer key, marking scheme, unsupported page precision or current macroeconomic statistic was inferred from them.
- **Qdrant:** not used; repository Markdown and available OCR context were sufficient.
- **PYQ integrity:** Audited Economy ledgers route 2020 GS-III on potential GDP and output gap and 2021 GS-III on the pre/post-2015 GDP methodology change to this Basic owner. Objective routes on ICOR, PPP, sector classification, physical capital and intangible investment are retained as concepts without inventing answer letters.
- **Live-link boundary:** Live official checks on 2026-09-03 did not yield independently extractable national-accounts text. The package therefore preserves the owner's exact 27 February 2026 release date, 2022-23 base, back-series cutoff and estimate-vintage cautions without manufacturing a fresh growth number.
- **Fact/inference discipline:** no current-affairs item, PYQ wording, figure or quotation is invented.

LIVE OFFICIAL-SOURCE ATTEMPT LOG

The checks below were made on 2026-09-03. Substantive official text is used only for the proposition it actually supports; binary files, dynamic shells, stubs and undated dashboard snippets are recorded but not converted into current claims.

- https://mospi.gov.in/uploads/release_calendar/1772190058170_Press_Note_on_New_Series_of_GDP_Estimates_with_Base_Year_2022-23_27022026.pdf - attempted 2026-09-03; the official PDF was retrievable only as binary content through the live fetcher, so no text or number was extracted from that attempt and the repository owner's dated record was used unchanged.
- <https://esankhyiki.mospi.gov.in/macroidicators?product=cpi&tab=metadata> - attempted 2026-09-03; only the Ministry title shell was returned, so no national-accounts claim was taken from it.

BASIC LEARNING SESSION

DEEP-REVIEW LEARNING CONTRACT

Control	Binding rule for this package
Syllabus boundary	Complete Economy Basic/Core is answer-complete before optional Advanced depth.
Formula boundary	Formula, numerator, denominator, unit, stock/flow, nominal/real, base year, level/rate and accounting identity are explicit.
Institutional boundary	Constitution, statute, delegated rule, regulator mandate, policy, recommendation, scheme and implementation outcome remain distinct.
Transmission method	Shock or instrument -> prices/quantities/balance sheets/incentives -> institution and market response -> output, employment, distribution, stability and external effect -> lag and trade-off.
Current-data method	Source -> release date -> reference period -> unit/denominator -> provisional/revised/final status; incompatible Budget, Survey or statistical vintages are never mixed.
Programme-status method	Announced -> approved -> notified/guidelines issued -> funded -> operational -> utilised -> output -> outcome are separate stages.
External/WTO method	Agreement text, member category, box, limit, notification, consultation, dispute and ruling are qualified without invented thresholds.
Causal method	Accounting identity, chronology and correlation are not promoted into behavioural or causal claims without mechanism, counterfactual and alternatives.
Answer balance	Model answers balance growth, distribution, stability, sustainability and federal dimensions with India-centric evidence.
Practice contract	Every solved item has demand decoding, a detailed examiner-grade model, executable timed/compression plan, marks rationale and answer-specific improvement.
Approval	This immutable successor remains approved: false pending explicit approval.

Canonical Basic/Core owner:

upsc-ai-kit\knowledge\Economy\basic\01_National-Income-GDP-GVA-and-Measurement.md

Substantive canonical provenance owner: upsc-ai-kit\knowledge\Economy\01_National-Income-GDP-GVA-GNP-NDP-and-Measurement_Learner-V2-Complete-Topic-Package.md **Optional Advanced owner:**

upsc-ai-kit\knowledge\Economy\advanced\01_National-Income-GDP-GVA-and-Measurement.md

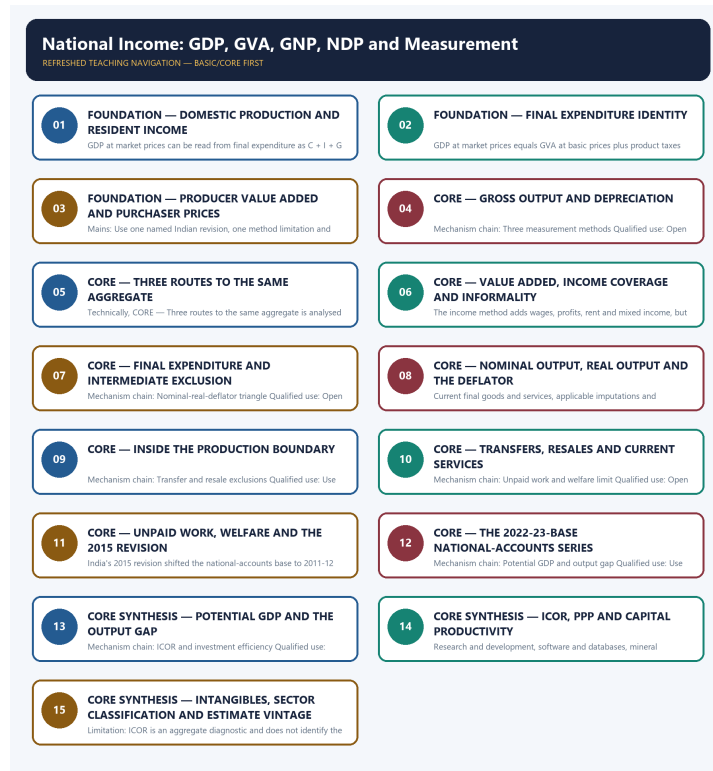
Official syllabus mapping: upsc-ai-kit\knowledge\Economy\OFFICIAL-UPSC-SYLLABUS-MAPPING.md

EVIDENCE, PYQ AND CURRENT-STATUS CONTROL

- Every data-heavy table states unit, denominator, geography, reference period and source/status.
- GDP/GVA, gross/net, domestic/national, nominal/real and level/rate distinctions remain exact.
- Monetary, fiscal and external chains state intermediaries, balance-sheet channels, lags, leakages and trade-offs.
- Budget and Economic Survey editions are never mixed; BE, RE, Actual, advance/provisional/revised/final estimates remain labelled.
- Scheme and programme claims distinguish announcement, approval, notification, operation, coverage, utilisation and measured outcome.
- WTO boxes, limits, de minimis, special treatment, notifications and disputes are qualified from authoritative rules.
- PYQ wording is preserved only where verified; reconstructed or routed demands remain labelled.
- **Current-status note, rechecked 2026-09-03:** volatile rates, estimates, scheme status, trade rules and institutional claims retain official source, release date, reference period and revision status.

Generation-local live/current sources:

- https://mospi.gov.in/uploads/release_calendar/1772190058170_Press_Note_on_New_Series_of_GDP_Estimates_with_Base_Year_2022-23_27022026.pdf - attempted 2026-09-03; the official PDF was retrievable only as binary content through the live fetcher, so no text or number was extracted from that attempt and the repository owner's dated record was used unchanged.
- <https://esankhyiki.mospi.gov.in/macroindicators?product=cpi&tab=metadata> - attempted 2026-09-03; only the Ministry title shell was returned, so no national-accounts claim was taken from it.



Refreshed teaching navigation

Distinct embedded teaching-navigation image. The separate continuous Cārvāka-style flowchart package remains an independent at-a-glance artifact.

SESSION 1 - FOUNDATION - DOMESTIC PRODUCTION AND RESIDENT INCOME

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Technical definition: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

MUST-WRITE KEYWORDS

- FOUNDATION
- Domestic production
- resident income
- Mechanism chain

- **Qualified use**
- **GDP**

How to use them: Frame the answer through FOUNDATION; define Domestic production, connect resident income with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

DOMESTIC PRODUCTION AND RESIDENT INCOME

01. Territory-residence boundary

|

v

02. GDP expenditure identity

BOUNDARY -> Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

NAMED EVIDENCE AND MECHANISM

- GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.
- GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

EXAMINER CAUTION

- Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

MINI RECAP

- **Mechanism chain:** Territory-residence boundary -> GDP expenditure identity
- **Qualified use:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

CLOSING RECALL FLOW - FOUNDATION - DOMESTIC PRODUCTION AND RESIDENT INCOME

START / CONCEPT: FOUNDATION - Domestic production and resident income

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EXACT TERMS: FOUNDATION • Domestic production • resident income • Mechanism chain • Qualified use • GDP

|

v

MECHANISM / ARGUMENT: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

|

v

CONSEQUENCE / CONTRAST: Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: territory-residence boundary - GDP expenditure identity Qualified use.

|

v

ANSWER-GRABBING FORMULATION: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

SESSION 2 - FOUNDATION - FINAL EXPENDITURE IDENTITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: GDP-GVA reconciliation Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

Technical definition: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

MUST-WRITE KEYWORDS

- **FOUNDATION**
- **Final expenditure identity**
- **Mechanism chain**
- **Qualified use**
- **GDP**
- **GVA**

How to use them: Frame the answer through FOUNDATION; define Final expenditure identity, connect Mechanism chain with Qualified use to explain the mechanism, and use GDP for the decisive comparison or qualification.

VISUAL FIRST

FINAL EXPENDITURE IDENTITY

01. GDP-GVA reconciliation

BOUNDARY -> Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

NAMED EVIDENCE AND MECHANISM

- GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

EXAMINER CAUTION

- Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Separate measurement change from real economic change before drawing a growth conclusion.

MINI RECAP

- **Mechanism chain:** GDP-GVA reconciliation
- **Qualified use:** Separate measurement change from real economic change before drawing a growth conclusion.

CLOSING RECALL FLOW - FOUNDATION - FINAL EXPENDITURE IDENTITY

START / CONCEPT: FOUNDATION - Final expenditure identity

|

v

EXACT TERMS: FOUNDATION · Final expenditure identity · Mechanism chain · Qualified use · GDP · GVA

|

v

MECHANISM / ARGUMENT: Mechanism chain: GDP-GVA reconciliation Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

|

v

CONSEQUENCE / CONTRAST: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not equate domestic territory with resident income.

|

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ANSWER-GRABBING FORMULATION: Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

SESSION 3 - FOUNDATION - PRODUCER VALUE ADDED AND PURCHASER PRICES

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Gross-net distinction Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

Technical definition: Mains: Use one named Indian revision, one method limitation and one welfare qualification.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

MUST-WRITE KEYWORDS

- **FOUNDATION**
- **Producer value added**
- **purchaser prices**
- **Mechanism chain**
- **Qualified use**
- **Gross**

How to use them: Frame the answer through FOUNDATION; define Producer value added, connect purchaser prices with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

PRODUCER VALUE ADDED AND PURCHASER PRICES

01. Gross-net distinction

BOUNDARY -> Do not say net measures include depreciation; net measures deduct consumption of fixed capital.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

NAMED EVIDENCE AND MECHANISM

- Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

EXAMINER CAUTION

- Do not say net measures include depreciation; net measures deduct consumption of fixed capital.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Use one named Indian revision, one method limitation and one welfare qualification.

MINI RECAP

- **Mechanism chain:** Gross-net distinction
- **Qualified use:** Use one named Indian revision, one method limitation and one welfare qualification.

CLOSING RECALL FLOW - FOUNDATION - PRODUCER VALUE ADDED AND PURCHASER PRICES

START / CONCEPT: FOUNDATION - Producer value added and purchaser prices

|

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EXACT TERMS: FOUNDATION • Producer value added • purchaser prices • Mechanism chain • Qualified use
• Gross

|

v

MECHANISM / ARGUMENT: Mechanism chain: Gross-net distinction Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

CONSEQUENCE / CONTRAST: Do not say net measures include depreciation; net measures deduct consumption of fixed capital.

|

v

UPSC TRAP / ANSWER-USE: Mains: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

ANSWER-GRABBING FORMULATION: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

SESSION 4 - CORE - GROSS OUTPUT AND DEPRECIATION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Technical definition: Mechanism chain: Three measurement methods Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

MUST-WRITE KEYWORDS

- **Gross output**
- **depreciation**
- **Mechanism chain**
- **Qualified use**
- **2011-12**
- **2022-23**

How to use them: Frame the answer through Gross output; define depreciation, connect Mechanism chain with Qualified use to explain the mechanism, and use 2011-12 for the decisive comparison or qualification.

VISUAL FIRST

GROSS OUTPUT AND DEPRECIATION

01. Three measurement methods

BOUNDARY -> Do not splice 2011-12-base and 2022-23-base growth or levels without an official comparable series.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

NAMED EVIDENCE AND MECHANISM

- Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

EXAMINER CAUTION

- Do not splice 2011-12-base and 2022-23-base growth or levels without an official comparable series.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

MINI RECAP

- **Mechanism chain:** Three measurement methods
- **Qualified use:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

CLOSING RECALL FLOW - CORE - GROSS OUTPUT AND DEPRECIATION

START / CONCEPT: CORE - Gross output and depreciation

|

v

EXACT TERMS: Gross output · depreciation · Mechanism chain · Qualified use · 2011-12 · 2022-23

|

v

MECHANISM / ARGUMENT: Mechanism chain: Three measurement methods Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

|

v

CONSEQUENCE / CONTRAST: Do not splice 2011-12-base and 2022-23-base growth or levels without an official comparable series.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not splice 2011-12-base and 2022-23-base growth or levels without an official comparable series.

|

v

ANSWER-GRABBING FORMULATION: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

SESSION 5 - CORE - THREE ROUTES TO THE SAME AGGREGATE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Double-counting boundary Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

Technical definition: Technically, CORE - Three routes to the same aggregate is analysed by relating Three routes to the same aggregate to Mechanism chain, then testing the relationship through Qualified use and GDP.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not use nominal GDP growth as proof of volume growth or welfare improvement.

MUST-WRITE KEYWORDS

- Three routes to the same aggregate
- Mechanism chain
- Qualified use
- GDP
- Double-counting
- Qualified

How to use them: Frame the answer through Three routes to the same aggregate; define Mechanism chain, connect Qualified use with GDP to explain the mechanism, and use Double-counting for the decisive comparison or qualification.

VISUAL FIRST

THREE ROUTES TO THE SAME AGGREGATE

01. Double-counting boundary

BOUNDARY -> Do not use nominal GDP growth as proof of volume growth or welfare improvement.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

NAMED EVIDENCE AND MECHANISM

- The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

EXAMINER CAUTION

- Do not use nominal GDP growth as proof of volume growth or welfare improvement.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Separate measurement change from real economic change before drawing a growth conclusion.

MINI RECAP

- **Mechanism chain:** Double-counting boundary
- **Qualified use:** Separate measurement change from real economic change before drawing a growth conclusion.

CLOSING RECALL FLOW - CORE - THREE ROUTES TO THE SAME AGGREGATE

START / CONCEPT: CORE - Three routes to the same aggregate

|

v

EXACT TERMS: Three routes to the same aggregate · Mechanism chain · Qualified use · GDP · Double-counting · Qualified

|

v

MECHANISM / ARGUMENT: Mechanism chain: Double-counting boundary Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

|

v

CONSEQUENCE / CONTRAST: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not use nominal GDP growth as proof of volume growth or welfare improvement.

|

v

ANSWER-GRABBING FORMULATION: Do not use nominal GDP growth as proof of volume growth or welfare improvement.

SESSION 6 - CORE - VALUE ADDED, INCOME COVERAGE AND INFORMALITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Income-side coverage - Expenditure-side boundary Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

Technical definition: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

MUST-WRITE KEYWORDS

- Value added
- income coverage
- informality
- Mechanism chain
- Qualified use
- India's

How to use them: Frame the answer through Value added; define income coverage, connect informality with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

VALUE ADDED, INCOME COVERAGE AND INFORMALITY

01. Income-side coverage

|
v

02. Expenditure-side boundary

BOUNDARY -> Do not describe every intangible outlay as investment; national-accounting capitalisation has a defined boundary.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

NAMED EVIDENCE AND MECHANISM

- The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.
- The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

EXAMINER CAUTION

- Do not describe every intangible outlay as investment; national-accounting capitalisation has a defined boundary.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Use one named Indian revision, one method limitation and one welfare qualification.

MINI RECAP

- **Mechanism chain:** Income-side coverage -> Expenditure-side boundary
- **Qualified use:** Use one named Indian revision, one method limitation and one welfare qualification.

CLOSING RECALL FLOW - CORE - VALUE ADDED, INCOME COVERAGE AND INFORMALITY

START / CONCEPT: CORE - Value added, income coverage and informality

|

v

EXACT TERMS: Value added · income coverage · informality · Mechanism chain · Qualified use · India's

|

v

MECHANISM / ARGUMENT: Mechanism chain: Income-side coverage - Expenditure-side boundary Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

CONSEQUENCE / CONTRAST: Do not describe every intangible outlay as investment; national-accounting capitalisation has a defined boundary.

|

v

UPSC TRAP / ANSWER-USE: Mains: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

ANSWER-GRABBING FORMULATION: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

SESSION 7 - CORE - FINAL EXPENDITURE AND INTERMEDIATE EXCLUSION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Technical definition: Mechanism chain: Nominal-real-deflator triangle Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

MUST-WRITE KEYWORDS

- Final expenditure
- intermediate exclusion
- Mechanism chain
- Qualified use
- Nominal GDP
- GDP

How to use them: Frame the answer through Final expenditure; define intermediate exclusion, connect Mechanism chain with Qualified use to explain the mechanism, and use Nominal GDP for the decisive comparison or qualification.

VISUAL FIRST

FINAL EXPENDITURE AND INTERMEDIATE EXCLUSION

01. Nominal-real-deflator triangle

BOUNDARY -> Do not compare PPP and market-exchange-rate ranks without the reference year and purpose.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

NAMED EVIDENCE AND MECHANISM

- Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

EXAMINER CAUTION

- Do not compare PPP and market-exchange-rate ranks without the reference year and purpose.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

MINI RECAP

- **Mechanism chain:** Nominal-real-deflator triangle
- **Qualified use:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

CLOSING RECALL FLOW - CORE - FINAL EXPENDITURE AND INTERMEDIATE EXCLUSION

START / CONCEPT: CORE - Final expenditure and intermediate exclusion

|

v

EXACT TERMS: Final expenditure · intermediate exclusion · Mechanism chain · Qualified use · Nominal GDP · GDP

|

v

MECHANISM / ARGUMENT: The operative mechanism is that nominal GDP uses current prices, real GDP uses constant or base-year prices.

|

v

CONSEQUENCE / CONTRAST: Mechanism chain: Nominal-real-deflator triangle Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

|

v

UPSC TRAP / ANSWER-USE: Do not compare PPP and market-exchange-rate ranks without the reference year and purpose.

|

v

ANSWER-GRABBING FORMULATION: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

SESSION 8 - CORE - NOMINAL OUTPUT, REAL OUTPUT AND THE DEFLATOR

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Production boundary Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

Technical definition: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

MUST-WRITE KEYWORDS

- Nominal output
- real output
- the deflator
- Mechanism chain
- Qualified use
- GDP

How to use them: Frame the answer through Nominal output; define real output, connect the deflator with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

NOMINAL OUTPUT, REAL OUTPUT AND THE DEFLATOR

01. Production boundary

BOUNDARY -> Do not treat a First Advance Estimate or projection as a final actual.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

NAMED EVIDENCE AND MECHANISM

- Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

EXAMINER CAUTION

- Do not treat a First Advance Estimate or projection as a final actual.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Separate measurement change from real economic change before drawing a growth conclusion.

MINI RECAP

- **Mechanism chain:** Production boundary
- **Qualified use:** Separate measurement change from real economic change before drawing a growth conclusion.

CLOSING RECALL FLOW - CORE - NOMINAL OUTPUT, REAL OUTPUT AND THE DEFLATOR

START / CONCEPT: CORE - Nominal output, real output and the deflator

|

v

EXACT TERMS: Nominal output · real output · the deflator · Mechanism chain · Qualified use · GDP

|

v

MECHANISM / ARGUMENT: Mechanism chain: Production boundary Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

|

v

CONSEQUENCE / CONTRAST: Do not treat a First Advance Estimate or projection as a final actual.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: current final goods and services, applicable imputations and government services valued mainly by production...

|

v

ANSWER-GRABBING FORMULATION: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

SESSION 9 - CORE - INSIDE THE PRODUCTION BOUNDARY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Technical definition: Mechanism chain: Transfer and resale exclusions Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

MUST-WRITE KEYWORDS

- Inside the production boundary
- Mechanism chain
- Qualified use
- Pure
- Indian
- Transfer

How to use them: Frame the answer through Inside the production boundary; define Mechanism chain, connect Qualified use with Pure to explain the mechanism, and use Indian for the decisive comparison or qualification.

VISUAL FIRST

INSIDE THE PRODUCTION BOUNDARY

01. Transfer and resale exclusions

BOUNDARY -> Do not count intermediate inputs again inside final output.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

NAMED EVIDENCE AND MECHANISM

- Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

EXAMINER CAUTION

- Do not count intermediate inputs again inside final output.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Use one named Indian revision, one method limitation and one welfare qualification.

MINI RECAP

- **Mechanism chain:** Transfer and resale exclusions
- **Qualified use:** Use one named Indian revision, one method limitation and one welfare qualification.

CLOSING RECALL FLOW - CORE - INSIDE THE PRODUCTION BOUNDARY

START / CONCEPT: CORE - Inside the production boundary

|

v

EXACT TERMS: Inside the production boundary · Mechanism chain · Qualified use · Pure · Indian · Transfer

|

v

MECHANISM / ARGUMENT: Mechanism chain: Transfer and resale exclusions Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

CONSEQUENCE / CONTRAST: Do not count intermediate inputs again inside final output.

|

v

UPSC TRAP / ANSWER-USE: Mains: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

ANSWER-GRABBING FORMULATION: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

SESSION 10 - CORE - TRANSFERS, RESALES AND CURRENT SERVICES

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Technical definition: Mechanism chain: Unpaid work and welfare limit Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

MUST-WRITE KEYWORDS

- **Transfers**
- **resales**
- **current services**
- **Mechanism chain**
- **Qualified use**
- **Conventional GDP**

How to use them: Frame the answer through Transfers; define resales, connect current services with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

TRANSFERS, REALES AND CURRENT SERVICES

01. Unpaid work and welfare limit

BOUNDARY -> Do not infer that high saving guarantees high growth when ICOR and implementation quality can weaken conversion.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

NAMED EVIDENCE AND MECHANISM

- Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

EXAMINER CAUTION

- Do not infer that high saving guarantees high growth when ICOR and implementation quality can weaken conversion.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

MINI RECAP

- **Mechanism chain:** Unpaid work and welfare limit
- **Qualified use:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

CLOSING RECALL FLOW - CORE - TRANSFERS, RESALES AND CURRENT SERVICES

START / CONCEPT: CORE - Transfers, resales and current services

|

v

EXACT TERMS: Transfers · resales · current services · Mechanism chain · Qualified use ·
Conventional GDP

|

v

MECHANISM / ARGUMENT: Mechanism chain: Unpaid work and welfare limit Qualified use: Open with the
accounting boundary, reconcile the formula, and only then assess performance.

|

v

CONSEQUENCE / CONTRAST: Do not infer that high saving guarantees high growth when ICOR and
implementation quality can weaken conversion.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: conventional GDP excludes much
unpaid household work and does not directly measure distribution, ecological...

|

v

ANSWER-GRABBING FORMULATION: Conventional GDP excludes much unpaid household work and does not
directly measure distribution, ecological depletion, service quality or every dimension of welfare.

SESSION 11 - CORE - UNPAID WORK, WELFARE AND THE 2015 REVISION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: 2015 national-accounts revision - 2026 series revision Qualified use:
Separate measurement change from real economic change before drawing a growth conclusion.

Technical definition: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of
corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative
data, improving relevance while creating a comparability need for a reliable back series.

MUST-WRITE KEYWORDS

- Unpaid work
- welfare
- the 2015 revision
- Mechanism chain
- Qualified use
- 2011-12

How to use them: Frame the answer through Unpaid work; define welfare, connect the 2015 revision with
Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

UNPAID WORK, WELFARE AND THE 2015 REVISION

01. 2015 national-accounts revision

|
v

02. 2026 series revision

BOUNDARY -> Do not treat potential GDP as directly observed; it is method-dependent.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

NAMED EVIDENCE AND MECHANISM

- India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.
- MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

EXAMINER CAUTION

- Do not treat potential GDP as directly observed; it is method-dependent.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Separate measurement change from real economic change before drawing a growth conclusion.

MINI RECAP

- **Mechanism chain:** 2015 national-accounts revision -> 2026 series revision
- **Qualified use:** Separate measurement change from real economic change before drawing a growth conclusion.

CLOSING RECALL FLOW - CORE - UNPAID WORK, WELFARE AND THE 2015 REVISION

START / CONCEPT: CORE - Unpaid work, welfare and the 2015 revision

|
v

EXACT TERMS: Unpaid work · welfare · the 2015 revision · Mechanism chain · Qualified use · 2011-12

|
v

MECHANISM / ARGUMENT: Mechanism chain: 2015 national-accounts revision - 2026 series revision

Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

|
v

CONSEQUENCE / CONTRAST: Do not treat potential GDP as directly observed; it is method-dependent.

|
v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: moSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources...

|
v

ANSWER-GRABBING FORMULATION: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

SESSION 12 - CORE - THE 2022-23-BASE NATIONAL-ACCOUNTS SERIES

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

Technical definition: Mechanism chain: Potential GDP and output gap
Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

MUST-WRITE KEYWORDS

- The 2022-23-base national-accounts series
- Mechanism chain
- Qualified use
- Potential GDP
- GDP
- 2022-23

How to use them: Frame the answer through The 2022-23-base national-accounts series; define Mechanism chain, connect Qualified use with Potential GDP to explain the mechanism, and use GDP for the decisive comparison or qualification.

VISUAL FIRST

THE 2022-23-BASE NATIONAL-ACCOUNTS SERIES

01. Potential GDP and output gap

BOUNDARY -> Do not infer welfare, distribution or ecological sustainability from GDP alone.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

NAMED EVIDENCE AND MECHANISM

- Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

EXAMINER CAUTION

- Do not infer welfare, distribution or ecological sustainability from GDP alone.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Use one named Indian revision, one method limitation and one welfare qualification.

MINI RECAP

- **Mechanism chain:** Potential GDP and output gap
- **Qualified use:** Use one named Indian revision, one method limitation and one welfare qualification.

CLOSING RECALL FLOW - CORE - THE 2022-23-BASE NATIONAL-ACCOUNTS SERIES

START / CONCEPT: CORE - The 2022-23-base national-accounts series

|

v

EXACT TERMS: The 2022-23-base national-accounts series • Mechanism chain • Qualified use • Potential GDP • GDP • 2022-23

|

v

MECHANISM / ARGUMENT: Mechanism chain: Potential GDP and output gap Qualified use: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

CONSEQUENCE / CONTRAST: Do not infer welfare, distribution or ecological sustainability from GDP alone.

|

v

UPSC TRAP / ANSWER-USE: Mains: Use one named Indian revision, one method limitation and one welfare qualification.

|

v

ANSWER-GRABBING FORMULATION: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

SESSION 13 - CORE SYNTHESIS - POTENTIAL GDP AND THE OUTPUT GAP

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Technical definition: Mechanism chain: ICOR and investment efficiency Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- Potential GDP
- the output gap
- Mechanism chain
- Qualified use
- The Incremental Capital-Output Ratio

How to use them: Frame the answer through CORE SYNTHESIS; define Potential GDP, connect the output gap with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

POTENTIAL GDP AND THE OUTPUT GAP

01. ICOR and investment efficiency

BOUNDARY -> Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

NAMED EVIDENCE AND MECHANISM

- The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

EXAMINER CAUTION

- Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

MINI RECAP

- **Mechanism chain:** ICOR and investment efficiency
- **Qualified use:** Open with the accounting boundary, reconcile the formula, and only then assess performance.

CLOSING RECALL FLOW - CORE SYNTHESIS - POTENTIAL GDP AND THE OUTPUT GAP

START / CONCEPT: CORE SYNTHESIS - Potential GDP and the output gap

|

v

EXACT TERMS: CORE SYNTHESIS • Potential GDP • the output gap • Mechanism chain • Qualified use •
The Incremental Capital-Output Ratio

|

v

MECHANISM / ARGUMENT: Mechanism chain: ICOR and investment efficiency Qualified use: Open with the accounting boundary, reconcile the formula, and only then assess performance.

|

v

CONSEQUENCE / CONTRAST: Do not treat every market transaction as current production; old-asset resale and transfers are excluded.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the Incremental Capital-Output Ratio links additional capital to additional output.

|

v

ANSWER-GRABBING FORMULATION: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

SESSION 14 - CORE SYNTHESIS - ICOR, PPP AND CAPITAL PRODUCTIVITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: PPP versus market exchange rate - Intangible capital formation
Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

Technical definition: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- ICOR
- PPP
- capital productivity
- Mechanism chain
- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define ICOR, connect PPP with capital productivity to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

ICOR, PPP AND CAPITAL PRODUCTIVITY

01. PPP versus market exchange rate

|
v

02. Intangible capital formation

BOUNDARY -> Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

NAMED EVIDENCE AND MECHANISM

- Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.
- Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

EXAMINER CAUTION

- Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Separate measurement change from real economic change before drawing a growth conclusion.

MINI RECAP

- **Mechanism chain:** PPP versus market exchange rate -> Intangible capital formation
- **Qualified use:** Separate measurement change from real economic change before drawing a growth conclusion.

CLOSING RECALL FLOW - CORE SYNTHESIS - ICOR, PPP AND CAPITAL PRODUCTIVITY

START / CONCEPT: CORE SYNTHESIS - ICOR, PPP and capital productivity

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v

EXACT TERMS: CORE SYNTHESIS · ICOR · PPP · capital productivity · Mechanism chain · Qualified use

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v

MECHANISM / ARGUMENT: Mechanism chain: PPP versus market exchange rate - Intangible capital formation Qualified use: Separate measurement change from real economic change before drawing a growth conclusion.

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v

CONSEQUENCE / CONTRAST: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

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v

UPSC TRAP / ANSWER-USE: Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.

|

v

ANSWER-GRABBING FORMULATION: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

SESSION 15 - CORE SYNTHESIS - INTANGIBLES, SECTOR CLASSIFICATION AND ESTIMATE VINTAGE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Technical definition: Limitation: ICOR is an aggregate diagnostic and does not identify the sector or institutional cause by itself. FACT: Claim: National accounts must estimate, not merely record, a large part of the economy.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- Intangibles
- sector classification
- estimate vintage
- Mechanism chain
- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define Intangibles, connect sector classification with estimate vintage to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

INTANGIBLES, SECTOR CLASSIFICATION AND ESTIMATE VINTAGE

01. Sector and capital classification

|
v

02. Estimate-vintage discipline

BOUNDARY -> Do not say net measures include depreciation; net measures deduct consumption of fixed capital.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

NAMED EVIDENCE AND MECHANISM

- Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

EXAMINER CAUTION

- Do not say net measures include depreciation; net measures deduct consumption of fixed capital.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Use one named Indian revision, one method limitation and one welfare qualification.

MINI RECAP

- **Mechanism chain:** Sector and capital classification -> Estimate-vintage discipline
- **Qualified use:** Use one named Indian revision, one method limitation and one welfare qualification.

COMPLETE BASIC OWNER EVIDENCE BANK

Subject: Economy | **Tier:** Must-Do (foundation) | **GS Paper:** GS-III + Prelims. **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1. **FACT:** = source-grounded | **ANALYSIS:** = analytical linkage | **CURRENT:** = current Survey hook. *Companion:* ../advanced/01_National-Income-GDP-GVA-and-Measurement.md.

1. Visual foundation

DOMESTIC output

GDP ---- minus depreciation ----> NDP

|

+---- plus net factor income from abroad (NFIA) ----> GNP

|

minus depreciation

v

NNP

Core rule: domestic concepts follow the location of production; national concepts follow the income of normal residents.

2. Essential definitions

Measure	Definition	Formula
FACT: GDP	Final goods and services produced within domestic territory during a period	$C + I + G + (X - M)$
FACT: GVA	Value of output minus intermediate consumption	Sum of producer value added
FACT: NDP	Net domestic output after capital consumption	GDP - depreciation
FACT: GNP	GDP adjusted for net factor income from abroad	GDP + NFIA
FACT: NNP	Net national product	GNP - depreciation
FACT: Per-capita income	Average income per person	National income / population

MEMORY: Mnemonic: D = Domestic territory; N = Net of depreciation; National = residents.

3. GDP and GVA

GVA at basic prices
 + product taxes
 - product subsidies
 = GDP at market prices

- FACT: GVA shows the contribution of producers and sectors.
- FACT: GDP at market prices shows the value paid by final purchasers.
- ANALYSIS: GDP and GVA growth can differ when net product taxes change sharply.

4. Three methods of measurement

Method	Adds	Main caution
Production/value-added	Value added at every production stage	Avoid double counting
Income	Wages, profits, rent and mixed income	Capture informal activity
Expenditure	Consumption, investment, government demand and net exports	Exclude intermediate purchases

The three approaches should theoretically converge because one person's expenditure becomes another person's income and corresponds to produced output.

5. Nominal and real GDP

Measure	Prices used	Best use
Nominal GDP	Current-year prices	Size of the economy, debt/tax ratios
Real GDP	Constant/base-year prices	Volume growth over time
GDP deflator	Ratio of nominal to real GDP	Broad domestic price movement

$\text{GDP deflator} = (\text{Nominal GDP} / \text{Real GDP}) \times 100$

6. What is included and excluded?

Included

- FACT: Final goods and services produced during the accounting period.
- FACT: Imputed values used under national-accounting rules, where applicable.
- FACT: Government services valued mainly through production costs.

Excluded

- FACT: Intermediate goods when their value is already embedded in final output.
- FACT: Pure transfer payments because no current good/service is produced in return.
- FACT: Sale of an existing asset; only current brokerage or service value is added.

- FACT: Unpaid household work that lies outside the conventional production boundary.

6A. Indian applications and evidence units

- FACT: **Claim:** Methodology and base-year revisions can change the picture of

India's output without any real change in production. **Named evidence:** the **2015 national-accounts revision** shifted India to the 2011-12 base and greater use of corporate administrative data, changing sector weights and methodology. **Significance:** base revision can improve coverage and relevance. **Limitation:** it creates comparability disputes unless a reliable back series is used.

- CURRENT: **Claim:** Series revisions remain a live, recurring measurement issue and

not a one-time 2015 event. **Named evidence:** MoSPI's **2026 GDP-series revision** released the 2022-23-base series on 27 February 2026. **Significance:** newer data sources and weights can better reflect structural change. **Limitation:** the absence of a complete comparable back series prevents casual splicing with older growth rates.

- FACT: **Claim:** Growth must be judged against sustainable capacity, not only

against last year's output. **Named evidence:** the **2020 GS-III potential-GDP/output-gap demand** requires separating actual output from the sustainable capacity implied by labour, capital and productivity. **Significance:** a negative gap supports cyclical demand repair, while a capacity constraint requires supply-side investment. **Limitation:** potential output is estimated, not directly observed, and results vary by method.

- FACT: **Claim:** A high saving or investment rate does not automatically

translate into high growth. **Named evidence:** the **Incremental Capital-Output Ratio (ICOR)** rises when investment efficiency falls, so growth can lag saving/investment effort. **Significance:** productivity and project execution mediate the saving-investment-growth chain. **Limitation:** ICOR is an aggregate diagnostic and does not identify the sector or institutional cause by itself.

- FACT: **Claim:** National accounts must estimate, not merely record, a large part

of the economy. **Named evidence:** **informal-sector measurement** in India uses surveys, administrative sources and benchmark-indicator methods where complete enterprise accounts are unavailable. **Significance:** national accounts must estimate a large unorganised sector rather than equate recorded corporate activity with the whole economy. **Limitation:** shocks can break the stability of ratios used to extrapolate informal activity.

- ANALYSIS: **Claim:** GDP growth is necessary but not sufficient evidence of

development. **Named evidence:** **GDP versus welfare** gaps show that unpaid care work, distribution, ecological depletion and service quality are not fully captured by GDP. **Significance:** HDI, employment, inequality and environmental indicators are required to judge development. **Limitation:** supplementary indicators do not make output measurement dispensable.

- FACT: **Claim:** Comparing national output across countries requires a

price-adjusted measure, not raw exchange-rate conversion. **Named evidence:** **Purchasing Power Parity (PPP)** converts GDP using a common basket of goods and services rather than the market exchange rate; on a PPP basis, India is regularly cited among the world's largest economies even though its market-exchange-rate GDP ranking is lower. **Significance:** PPP corrects for cross-country price-level differences and is the standard basis for comparing living standards and real purchasing power, whereas nominal (market exchange rate) GDP is the standard basis for external trade, debt and market-size comparisons. **Limitation:** PPP conversion factors depend on international price surveys (such as the World Bank's International Comparison Program) that are periodically rebased, so the exact PPP rank/multiple is time- and source-specific and should not be quoted without stating the reference year.

- FACT: **Claim:** Investment in national-accounting terms is broader than

physical construction and machinery alone. **Named evidence:** **intangible investment** - spending on research and development, software, databases, mineral exploration and artistic originals - is classified as gross fixed capital formation in the System of National Accounts framework, alongside conventional physical (tangible) capital formation. **Significance:** classifying qualifying intangible spending as investment (rather than as a current expense) affects measured GDP, capital formation and depreciation, and is increasingly important as knowledge- and service-intensive activity grows. **Limitation:** valuing and depreciating intangible assets is harder than for physical assets because some intangible outlays, including advertising, brand creation, staff training and much organisational capital, are not capitalised under national-accounting rules and remain treated as intermediate consumption.

6B. Limitations and trade-offs

- More comprehensive administrative data may improve coverage while making old and new series less comparable.
- Nominal GDP is useful for fiscal ratios but can rise without real welfare gains when prices increase.
- Real GDP removes price change but remains insensitive to distribution and much unpaid work.
- Imputation improves completeness but introduces model and assumption risk.
- Quarterly estimates improve timeliness but are revised as fuller data arrive.

7. Must-Know Facts for Prelims

- FACT: Gross measures include depreciation; net measures deduct it.
- FACT: GDP can exceed GNP when NFIA is negative.
- FACT: GDP is territorial; GNP is resident-income based.
- FACT: Real GDP removes price effects; nominal GDP does not.
- FACT: GVA is not GDP: net product taxes connect the two.
- FACT: Imports are subtracted because consumption/investment totals may include foreign production.
- FACT: PPP-based GDP uses a common price basket to compare living standards across countries; market-exchange-rate GDP is the basis for external-sector and market-size comparisons - the two rankings need not match.
- FACT: Qualifying intangible spending (R&D, software/databases, mineral exploration, artistic originals) is treated as capital formation under the System of National Accounts, alongside physical/tangible investment.

8. UPSC traps

- WRONG: Every market transaction raises current GDP. -> Resale of an old asset does not.
- WRONG: A pension payment directly adds to GDP. -> It is a transfer payment.
- WRONG: Higher nominal GDP always means more output. -> It may reflect inflation.
- WRONG: GDP measures national welfare. -> It measures production, not distribution, unpaid work, ecological loss or all aspects of well-being.
- WRONG: GNP must always exceed GDP. -> It depends on the sign of NFIA.
- WRONG: PPP and market-exchange-rate GDP always rank countries identically. -> Price-level differences mean PPP and nominal rankings can diverge sharply.
- WRONG: Only physical construction and machinery count as investment. -> Qualifying intangible spending (R&D, software, mineral exploration) is also capital formation, though not every intangible outlay is capitalised.

9. CURRENT: Economic Survey 2025-26 anchor

Indicator	Survey figure
FACT: Real GDP growth, FY26 First Advance Estimate	7.4%
FACT: Real GVA growth, FY26 First Advance Estimate	7.3%
FACT: PFCE share in GDP, FY26	61.5%
FACT: Services growth, FY26 FAE	9.1%
FACT: FY27 real GDP projection	6.8-7.2%

ANALYSIS: Interpretation: consumption remains the largest demand component, while the GDP-GVA difference reflects net product taxes. Always quote the period with the figure.

CURRENT: National-accounts series update - 27 February 2026

- **FACT:** MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12, with revised coverage, data sources and methods.
- **FACT:** The release provides annual and quarterly estimates from 2022-23; the comparable back-series was still pending at the 19 July 2026 cutoff.
- **ANALYSIS:** The FY26 FAE figures above are Survey-period estimates. Always identify the **series, estimate vintage and period** before comparing them with the new series.
- **Source:** MoSPI press note, 27 February 2026.

10. PYQ status

- **ANALYSIS:** No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; use the distinctions above for adjacent sector, growth and deficit questions. See the exact routing table in . . /README . md.

11. Mains angles

- **ANALYSIS:** Why GDP growth is necessary but insufficient for development.
- **ANALYSIS:** How base-year and methodology revisions improve measurement but can disrupt comparison with older series.
- **ANALYSIS:** Why India needs GDP/GVA data alongside employment, inequality, human development and environmental indicators.

Answer thesis: GDP measures the value of domestic production; a sound growth assessment must then separate prices from volumes, GDP from GVA, and aggregate output from distribution, jobs and ecological sustainability.

12. Probable questions

- **ANALYSIS: Prelims:** Which adjustment converts GDP at market prices into GVA at basic prices, and which adjustment converts gross into net output?
- **ANALYSIS: Mains (10 marks):** Why can GDP and GVA tell different but complementary stories about the same year's growth?
- **ANALYSIS: Mains (15 marks):** Explain why a change of national-accounts base year improves relevance but demands careful treatment of historical comparisons.

12A. Answer architecture (10/15/20-mark support)

- **Define/Distinguish:** state territory versus residence, gross versus net, current versus constant prices and GDP versus GVA before application.
- **Explain/Elucidate:** use the production-income-expenditure identity or the saving -> investment -> capital productivity -> output chain.
- **Examine/Analyse:** separate measurement change from real economic change; test coverage, prices, base year, informal-sector method and revision vintage.
- **Critically examine/Evaluate:** judge relevance gains against comparability, estimation and welfare limitations.
- **Evidence chain:** 2015 methodology revision; 2022-23-base series; potential GDP/output gap; ICOR; informal-sector estimation; PPP versus nominal cross-country comparison; intangible-investment classification; unpaid care/ecological gap.
- **Directive decoder - Distinguish (PPP demand):** contrast PPP-based and

market-exchange-rate GDP explicitly - same production, different price basis, different comparative purpose - before citing any rank or multiple.

- **Directive decoder - Classify (intangible-investment demand):** state that

R&D, software/databases, mineral exploration and artistic originals are capital formation under SNA rules, then flag which routine intangible spending remains outside capitalisation.

10 marks: define the tested measures, use 2-3 named applications and one measurement caution. **15 marks:** add methodology, informal-sector and comparability evidence with a balanced verdict, drawing on PPP or intangible-investment distinctions where the question is comparative or investment-classification-based. **20 marks:** integrate output, prices, capacity, distribution, employment and sustainability while separating measurement revisions from actual performance.

Reasoned verdict: GDP is indispensable for measuring production, but its interpretation is marks-worthy only when the series, price basis, estimate vintage, coverage and welfare limits are stated explicitly.

13. Study links

- FACT: Advanced companion: ../advanced/01_National-Income-GDP-GVA-and-Measurement.md.
- FACT: 02_Growth-Development-HDI-IHDI-and-MPI.md - output versus welfare.
- FACT: 03_Inflation-Price-Indices-and-Business-Cycles.md - deflators and price measurement.
- FACT: 26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md - estimate vintage and macro interpretation.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2024-2025.md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	45	Economic activity-to-sector matching (primary/secondary/tertiary)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	47	Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Economic activity-to-sector matching (primary/secondary/tertiary)
- Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022, 2023

- **Paper(s):** GS-III, Prelims GS-I

- **Routed question demands:** 6

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	50	High saving economy low output and capital-output ratio	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	82	Purchasing Power Parity and India world economy size	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2022	Prelims GS-I	7	Real sector economic activities in Indian economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	28	Intangible investments classification in economic accounting	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- High saving economy low output and capital-output ratio
- Purchasing Power Parity and India world economy size
- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015
- Real sector economic activities in Indian economy
- Intangible investments classification in economic accounting

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CLOSING RECALL FLOW - CORE SYNTHESIS - INTANGIBLES, SECTOR CLASSIFICATION AND ESTIMATE VINTAGE

START / CONCEPT: CORE SYNTHESIS - Intangibles, sector classification and estimate vintage

|

v

EXACT TERMS: CORE SYNTHESIS · Intangibles · sector classification · estimate vintage · Mechanism chain · Qualified use

|

v

MECHANISM / ARGUMENT: Limitation: ICOR is an aggregate diagnostic and does not identify the sector or institutional cause by itself. FACT: Claim: National accounts must estimate, not merely record, a large part of the economy.

|

v

CONSEQUENCE / CONTRAST: Reasoned verdict: GDP is indispensable for measuring production, but its interpretation is marks-worthy only when the series, price basis, estimate vintage, coverage and welfare limits are stated explicitly.

|

v

UPSC TRAP / ANSWER-USE: Limitation: valuing and depreciating intangible assets is harder than for physical assets because some intangible outlays, including advertising, brand creation, staff training and much organisational capital, are not capitalised under national-accounting rules and remain treated as intermediate consumption.

|

v

ANSWER-GRABBING FORMULATION: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

ECONOMY DEEP-REVIEW CORE CONTROL

- **Must remember:** National accounts measure production, income and expenditure consistently: GDP is domestic, GNP/GNI adds net primary income from abroad, NDP/NNP deduct depreciation, and GVA plus product taxes less product subsidies yields GDP.
- **Close distinction:** Nominal is current-price value, real is constant-price volume, a level is not a growth rate, gross is not net, domestic is not national, and an accounting identity is not a behavioural causal claim.
- **Formula / status / evidence / causal limit:** State factor cost/basic/market-price convention, base year, deflator, coverage, informal-sector method and revision status; reconcile output, income and expenditure approaches without adding transfer payments or financial-asset trades to production.

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Territory-residence boundary?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: A. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Territory-residence boundary?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: B. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Territory-residence boundary without losing its vintage, basket or legal status?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: C. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Territory-residence boundary?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: D. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies GDP expenditure identity?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: A. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of GDP expenditure identity?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: B. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses GDP expenditure identity without losing its vintage, basket or legal status?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: C. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about GDP expenditure identity?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: D. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies GDP-GVA reconciliation?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: A. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of GDP-GVA reconciliation?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: B. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses GDP-GVA reconciliation without losing its vintage, basket or legal status?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: C. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about GDP-GVA reconciliation?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: D. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Gross-net distinction?

A. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: A. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Gross-net distinction?

A. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

Answer: B. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Gross-net distinction without losing its vintage, basket or legal status?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: C. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Gross-net distinction?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: D. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Three measurement methods?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: A. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Three measurement methods?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: B. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Three measurement methods without losing its vintage, basket or legal status?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: C. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Three measurement methods?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: D. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Double-counting boundary?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: A. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Double-counting boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: B. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Double-counting boundary without losing its vintage, basket or legal status?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: C. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Double-counting boundary?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

Answer: D. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Income-side coverage?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: A. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete

enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Income-side coverage?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: B. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Income-side coverage without losing its vintage, basket or legal status?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: C. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Income-side coverage?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

Answer: D. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Expenditure-side boundary?

A. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: A. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Expenditure-side boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Expenditure-side boundary without losing its vintage, basket or legal status?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: C. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Expenditure-side boundary?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: D. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Nominal-real-deflator triangle?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: A. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Nominal-real-deflator triangle?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Nominal-real-deflator triangle without losing its vintage, basket or legal status?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: C. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Nominal-real-deflator triangle?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: D. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Production boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: A. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Production boundary?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Production boundary without losing its vintage, basket or legal status?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: C. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Production boundary?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: D. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Transfer and resale exclusions?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Transfer and resale exclusions?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: B. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Transfer and resale exclusions without losing its vintage, basket or legal status?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: C. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Transfer and resale exclusions?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: D. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Unpaid work and welfare limit?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Unpaid work and welfare limit?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: B. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Unpaid work and welfare limit without losing its vintage, basket or legal status?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Unpaid work and welfare limit?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: D. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies 2015 national-accounts revision?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of 2015 national-accounts revision?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: B. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses 2015 national-accounts revision without losing its vintage, basket or legal status?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about 2015 national-accounts revision?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: D. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies 2026 series revision?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: A. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of 2026 series revision?

A. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: B. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses 2026 series revision without losing its vintage, basket or legal status?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt

and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about 2026 series revision?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: D. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Potential GDP and output gap?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: A. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Potential GDP and output gap?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: B. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Potential GDP and output gap without losing its vintage, basket or legal status?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: C. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Potential GDP and output gap?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

Answer: D. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies ICOR and investment efficiency?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: A. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of ICOR and investment efficiency?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: B. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses ICOR and investment efficiency without losing its vintage, basket or legal status?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: C. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about ICOR and investment efficiency?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: D. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies PPP versus market exchange rate?

A. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: A. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of PPP versus market exchange rate?

A. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: B. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses PPP versus market exchange rate without losing its vintage, basket or legal status?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: C. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about PPP versus market exchange rate?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: D. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Intangible capital formation?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: A. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Intangible capital formation?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: B. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Intangible capital formation without losing its vintage, basket or legal status?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: C. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Intangible capital formation?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: D. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Sector and capital classification?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: A. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Sector and capital classification?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: B. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Sector and capital classification without losing its vintage, basket or legal status?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: C. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Sector and capital classification?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: D. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Estimate-vintage discipline?

A. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. B. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: A. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Estimate-vintage discipline?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: B. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series

estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Estimate-vintage discipline without losing its vintage, basket or legal status?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: C. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Estimate-vintage discipline?

A. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: D. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited Economy ledgers route 2020 GS-III on potential GDP and output gap and 2021 GS-III on the pre/post-2015 GDP methodology change to this Basic owner. Objective routes on ICOR, PPP, sector classification, physical capital and intangible investment are retained as concepts without inventing answer letters.

OWNER PYQ LEDGER EXTRACTS

10. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited

2024-2026 Economy corpus; use the distinctions above for adjacent sector, growth and deficit questions. See the exact routing table in . . ./README . md.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2024-2025 . md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024

- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	45	Economic activity-to-sector matching (primary/secondary/tertiary)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	47	Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Economic activity-to-sector matching (primary/secondary/tertiary)
- Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022, 2023
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 6

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	50	High saving economy low output and capital-output ratio	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	82	Purchasing Power Parity and India world economy size	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2022	Prelims GS-I	7	Real sector economic activities in Indian economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	28	Intangible investments classification in economic accounting	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- High saving economy low output and capital-output ratio
- Purchasing Power Parity and India world economy size
- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015
- Real sector economic activities in Indian economy
- Intangible investments classification in economic accounting

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

12. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; see the exact route audit in . . /README . md.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023 . md.

- **Years represented:** 2020, 2021
- **Paper(s):** GS-III
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2020 GS-III

Demand: Define potential GDP, explain its determinants and examine India's output gap.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 1 - 2020 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Define potential GDP, explain its determinants and examine India's output gap. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 1 - 2020 GS-III”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 2 - 2021 GS-III

Demand: Explain changes in India's GDP computation methodology before and after the 2015 revision.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on "PYQ DEMAND CARD 2 - 2021 GS-III", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Explain changes in India's GDP computation methodology before and after the 2015 revision. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete

comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 2 - 2021 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about 150 words.

Model thesis: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named evidence/example:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.
- GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.
- Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Qualified conclusion: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named**

evidence/example: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named evidence/example:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income

from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named**

evidence/example: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named**
evidence/example: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.

Model thesis: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise

beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how the three methods of national-income measurement converge and where Indian data risks arise. Answer in about 250 words.

Model thesis: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named**

evidence/example: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic

mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named**

evidence/example: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.
- The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.
- The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.
- The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Qualified conclusion: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket,

instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on "Explain how the three methods of national-income measurement converge and where Indian data...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Explain how the three methods of national-income measurement converge and where Indian data...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: A base-year revision improves relevance but complicates historical comparison. Examine. Answer in about 250 words.

Model thesis: Claim: 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.
- MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: Claim: 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **examine** requires a direct position on “A base-year revision improves relevance but complicates historical comparison. Examine...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument

eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “A base-year revision improves relevance but complicates historical comparison. Examine....”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically assess GDP as a measure of India's economic performance and welfare. Answer in about 300 words.

Model thesis: **Claim:** Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant

institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.
- Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.
- Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.
- Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **critically assess** requires a direct position on “Critically assess GDP as a measure of India's economic performance and welfare. Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting

boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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5. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series

estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Critically assess GDP as a measure of India's economic performance and welfare. Answer in...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Analyse the saving-investment-growth chain with ICOR, intangible capital and measurement limitations. Answer in about 300 words.

Model thesis: Claim: ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.
- Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.
- Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: Claim: ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than

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Demand decoding: The directive **analyse** requires a direct position on “Analyse the saving-investment-growth chain with ICOR, intangible capital and measurement...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

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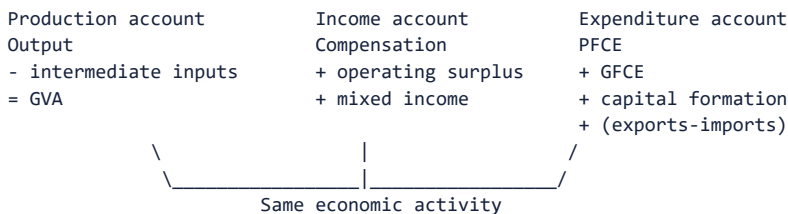
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OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

Subject: Economy | **Tier:** Advanced | **GS Paper:** GS-III + Prelims. **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1; System of National Accounts concepts used in India's national accounting. **FACT:** = source-grounded | **ANALYSIS:** = analytical linkage | **CURRENT:** = current Survey hook. **Companion:** ../basic/01_National-Income-GDP-GVA-and-Measurement.md.

1. Measurement Architecture



Statistical discrepancies arise because the three methods use different data sources, timing and estimation procedures.

2. Domestic territory vs normal residence

Test	Domestic measure	National measure
Governing principle	Location of production	Normal residence of income earner
Main aggregate	GDP/NDP	GNP/NNP
Adjustment	None for cross-border factor income	Add NFIA

NFIA = factor income received from abroad - factor income paid abroad.

Remittances that are personal transfers are recorded differently from factor or primary income. Do not treat every inward remittance as NFIA.

3. Gross, net, basic and market prices

Distinction	Adjustment
Gross -> Net	Subtract consumption of fixed capital/depreciation
GVA at basic prices -> GDP at market prices	Add product taxes; subtract product subsidies
Nominal -> Real	Deflate with appropriate price indices/base-year prices

- **FACT: Production taxes/subsidies** relate to production activity.
- **FACT: Product taxes/subsidies** relate to units of goods/services and bridge GVA

at basic prices with GDP at market prices.

- **ANALYSIS:** A tax cut can narrow GDP growth relative to GVA growth even when underlying production is unchanged.

4. Expenditure-side components

Component	Meaning	Analytical use
PFCE	Household/private consumption	Consumption strength
GFCE	Government final consumption	Government current-service demand
GFCF	Fixed capital formation	Investment/capacity creation
Change in stocks	Inventory accumulation or drawdown	Business-cycle signal
Valuables	Acquisitions such as precious assets under SNA treatment	Saving/asset preference
Net exports	Exports minus imports	External contribution to demand

MEMORY: Trap: Government capital expenditure is not the same as GFCE. Capital expenditure can create assets and enters capital formation; GFCE measures government consumption of current services.

5. Value added and double counting

Example:

Stage	Sale value	Intermediate input	Value added
Farmer sells wheat	20	0	20
Miller sells flour	35	20	15
Baker sells bread	50	35	15
Total	105	-	50

GDP counts the final bread value of 50 or the sum of value added (20+15+15), not all sales of 105.

6. Real growth, deflation and base-year revision

- FACT: Constant-price estimates separate output-volume change from price change.
- FACT: Different sectors require suitable deflators; one economy-wide price index cannot perfectly represent every activity.
- FACT: Base-year revision updates prices, weights, databases, classifications and coverage as the economy changes.
- ANALYSIS: A new series can alter levels and growth rates because both the base and methodology change; this does not automatically imply manipulation.
- ANALYSIS: Informal-sector estimation, rapidly changing digital services and quality improvements remain difficult measurement areas.

7. GDP deflator vs CPI/WPI

Index	Coverage	Imports	Weights
GDP deflator	Domestically produced final output	Excluded as foreign output	Current composition
CPI	Household consumption basket	Can include imported consumer goods	Fixed/revised basket
WPI	Mainly wholesale goods	Includes relevant traded goods	Fixed/revised basket

The GDP deflator is broader than CPI in domestic output coverage but is not a cost-of-living index.

8. Limits of GDP as a welfare measure

GDP growth

```
|
+-- says: output expanded
|
+-- does not by itself say:
    distribution | job quality | unpaid care | health | learning
    ecological damage | safety | leisure | institutional quality
```

- ANALYSIS: Per-capita GDP corrects for population size but not inequality.
- ANALYSIS: Disaster reconstruction can add to GDP although the original welfare loss

is not subtracted fully.

- ANALYSIS: Resource depletion may raise current output while reducing future wealth.
- ANALYSIS: HDI, IHDI, MPI, employment and environmental accounts complement GDP; they do not replace the need to measure production.

9. Advanced Prelims traps

- WRONG: NFIA equals all remittances. -> Personal transfers and primary income differ.
- WRONG: GVA at basic prices already includes product taxes. -> Product taxes are added when moving to GDP at market prices.
- WRONG: GDP deflator includes imported production. -> It covers domestic output.
- WRONG: A rise in inventories always means healthy demand. -> It may be intended accumulation or unsold stock.
- WRONG: Depreciation is a cash payment made during the year. -> It is an accounting estimate of fixed-capital consumption.

10. CURRENT: Survey-based analytical reading

FACT: The Economic Survey 2025-26 reports FY26 FAE growth of **7.4% for real GDP** and **7.3% for real GVA**, with PFCE at **61.5% of GDP**.

ANALYSIS: Use these figures in three steps:

1. **State the period and estimate type:** FY26, First Advance Estimate.
2. **Identify the driver:** strong private consumption and services.
3. **Add the caveat:** advance estimates are revised as fuller data arrive.

Series-break discipline after 27 February 2026

- FACT: MoSPI's new national-accounts series uses **2022-23 as base year**, replacing 2011-12, and introduces revised sources/coverage/methods.
- FACT: Estimates from 2022-23 onward were released; a comparable back-series was not yet available at the 19 July 2026 cutoff.
- ANALYSIS: Do not splice growth levels across the two series without the official back-series. Label every number by base, estimate vintage and reference period.
- Source: MoSPI press note.

11. Mains-ready frameworks

Central thesis: National accounts measure production through consistent identities, but a credible growth assessment must preserve price, coverage and estimate-vintage distinctions and test output against jobs, distribution and sustainability.

"GDP is necessary but insufficient"

1. GDP measures production and fiscal capacity.
2. Per-capita and sectoral GVA reveal scale and structure.
3. Employment and distribution determine inclusiveness.

4. Human-development indicators capture capabilities.
5. Environmental accounts capture sustainability.

"Improving India's national accounts"

- More frequent enterprise and household surveys.
- Better informal-sector and gig/digital-economy measurement.
- Transparent back-series and revision policy.
- Stronger state-level GSDP capacity.
- Satellite accounts for environment, health, care and digital activity.

12. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; see the exact route audit in `../README.md`.

13. Probable questions

- ANALYSIS: **Prelims:** Differentiate GDP, GVA, GNP, NDP, nominal GDP and real GDP.
- ANALYSIS: **Mains:** "India's growth debate should move from the rate of GDP growth to the composition, employment intensity and sustainability of growth." Discuss.
- ANALYSIS: **Mains:** Explain why revisions in base year and national-accounting methodology are necessary, while examining the challenges they create for comparability and public trust.

14. Study links

- FACT: Foundation companion: `../basic/01_National-Income-GDP-GVA-and-Measurement.md`.
- FACT: `02_Growth-Development-HDI-IHDI-and-MPI.md` - welfare complements to output.
- FACT: `03_Inflation-Price-Indices-and-Business-Cycles.md` - deflators, CPI and WPI.
- FACT: `26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md` - estimates, revisions and macro dashboard use.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2020, 2021
- **Paper(s):** GS-III
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CONSOLIDATED REGISTER NOTES

National Income: GDP, GVA, GNP, NDP and Measurement: RAPID MEASURE, INSTITUTION AND VINTAGE MAP

1. **Territory-residence boundary:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.
2. **GDP expenditure identity:** GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.
3. **GDP-GVA reconciliation:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.
4. **Gross-net distinction:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.
5. **Three measurement methods:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.
6. **Double-counting boundary:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.
7. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.
8. **Expenditure-side boundary:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.
9. **Nominal-real-deflator triangle:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.
10. **Production boundary:** Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.
11. **Transfer and resale exclusions:** Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.
12. **Unpaid work and welfare limit:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.
13. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.
14. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.
15. **Potential GDP and output gap:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.
16. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.
17. **PPP versus market exchange rate:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.
18. **Intangible capital formation:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

19. **Sector and capital classification:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.
20. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

National Income: GDP, GVA, GNP, NDP and Measurement: BASE-YEAR, BASKET, INSTRUMENT AND LEGAL-STATUS TRAPS

- Do not treat every market transaction as current production; old-asset resale and transfers are excluded.
- Do not equate domestic territory with resident income; GDP and GNP answer different boundary questions.
- Do not say net measures include depreciation; net measures deduct consumption of fixed capital.
- Do not splice 2011-12-base and 2022-23-base growth or levels without an official comparable series.
- Do not use nominal GDP growth as proof of volume growth or welfare improvement.
- Do not describe every intangible outlay as investment; national-accounting capitalisation has a defined boundary.
- Do not compare PPP and market-exchange-rate ranks without the reference year and purpose.
- Do not treat a First Advance Estimate or projection as a final actual.
- Do not count intermediate inputs again inside final output.
- Do not infer that high saving guarantees high growth when ICOR and implementation quality can weaken conversion.
- Do not treat potential GDP as directly observed; it is method-dependent.
- Do not infer welfare, distribution or ecological sustainability from GDP alone.

National Income: GDP, GVA, GNP, NDP and Measurement: ANSWER-WRITING SPINE

DEFINE THE MEASURE OR INSTITUTION AND FIX ITS COVERAGE

- > STATE FORMULA, PRICE BASIS, BASE YEAR, BASKET OR LEGAL POWER
- > NAME THE PERIOD, ESTIMATE VINTAGE AND ISSUING BODY
- > TRACE THE TRANSMISSION OR ACCOUNTING RECONCILIATION
- > ADD ONE INDIA-SPECIFIC EVIDENCE UNIT AND ITS LIMIT
- > TEST DISTRIBUTION, OUTPUT, PRICE OR FINANCIAL-STABILITY EFFECTS
- > CONCLUDE WITH A GRADED VERDICT, NOT A TIMELESS NUMBER

National Income: GDP, GVA, GNP, NDP and Measurement: LIVE-SOURCE AND ESTIMATE-STATUS BOUNDARY

Live official checks on 2026-09-03 did not yield independently extractable national-accounts text. The package therefore preserves the owner's exact 27 February 2026 release date, 2022-23 base, back-series cutoff and estimate-vintage cautions without manufacturing a fresh growth number.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: Territory before arithmetic

DOMESTIC TERRITORY -> GDP
NORMAL RESIDENCE -> GNP
NFIA BRIDGE -> GDP + NFIA
TRAP -> location and ownership are not the same boundary
MUST REMEMBER: National accounts measure production, income and expenditure consistently:...

ASCII MASTER FLOW - PANEL 2/12: Gross-to-net ladder

GDP -> minus depreciation -> NDP
GNP -> minus depreciation -> NNP
GROSS -> capital consumption retained
NET -> capital consumption deducted

ASCII MASTER FLOW - PANEL 3/12: Three-method convergence

PRODUCTION -> value added
INCOME -> wages + profits + rent + mixed income
EXPENDITURE -> C + I + G + (X - M)
IDENTITY -> one output, three measurement routes

ASCII MASTER FLOW - PANEL 4/12: GDP-GVA tax bridge

GVA AT BASIC PRICES
+ PRODUCT TAXES
- PRODUCT SUBSIDIES
= GDP AT MARKET PRICES

ASCII MASTER FLOW - PANEL 5/12: Nominal-real decoder

NOMINAL -> current prices -> size and ratios
REAL -> base-year prices -> volume growth
DEFLATOR -> nominal / real x 100
LIMIT -> base revision changes the comparison frame

ASCII MASTER FLOW - PANEL 6/12: Production-boundary gate

IN -> current final goods and services
IN -> permitted imputations and government services
OUT -> embedded intermediate inputs and pure transfers
OUT -> old assets except current brokerage

ASCII MASTER FLOW - PANEL 7/12: Informal-sector estimation

MISSING COMPLETE ACCOUNTS
-> surveys + administrative sources
-> benchmark-indicator extrapolation
LIMIT -> shocks can break historical ratios

ASCII MASTER FLOW - PANEL 8/12: Base-year revision timeline

2015 -> shift to 2011-12 base
27 FEB 2026 -> release of 2022-23-base series
19 JUL 2026 CUTOFF -> full back series pending
RULE -> never splice unsupported series

ASCII MASTER FLOW - PANEL 9/12: Capacity diagnosis

ACTUAL < POTENTIAL -> negative output gap
ACTUAL NEAR CAPACITY -> demand stimulus meets supply limits
POTENTIAL -> labour + capital + productivity
LIMIT -> capacity is estimated, not observed

ASCII MASTER FLOW - PANEL 10/12: Saving-to-growth conversion

SAVING -> INVESTMENT
INVESTMENT -> capital formation
ICOR -> capital needed per extra output
HIGH ICOR -> weak conversion efficiency
CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level...

ASCII MASTER FLOW - PANEL 11/12: Cross-country comparison fork

PPP -> common basket -> purchasing power
MARKET RATE -> external value -> trade and debt
SAME OUTPUT, DIFFERENT PRICE BASIS
RULE -> quote source and reference year
EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price...

ASCII MASTER FLOW - PANEL 12/12: Examiner closing spine

DEFINE -> boundary + formula
VERIFY -> base year + period + vintage
ANALYSE -> coverage + method + efficiency
QUALIFY -> distribution + unpaid work + ecology